

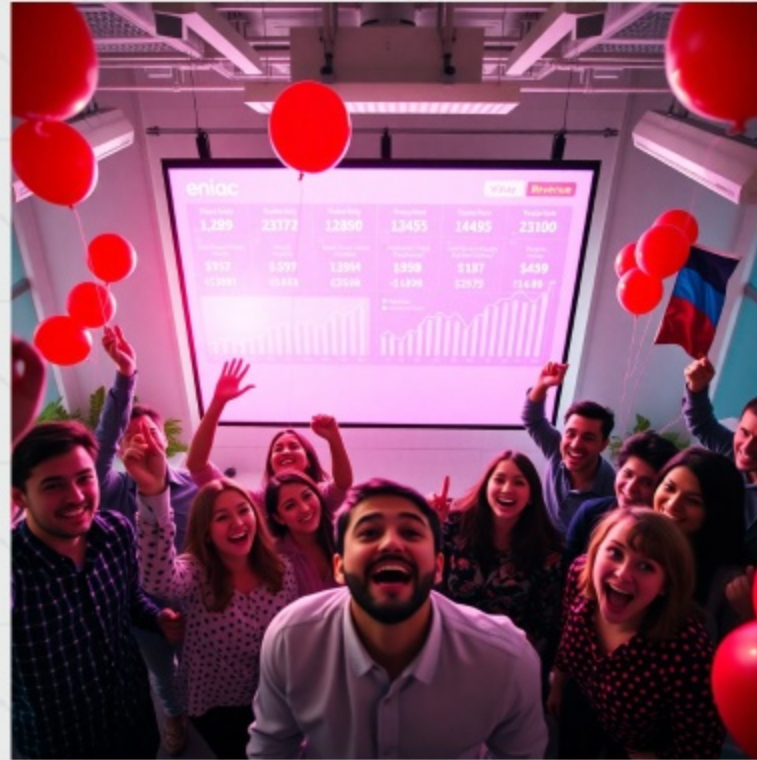
Are Discounts Beneficial to Eniac ?

Premium Insight Squad
Malynn, Shannon, Paul, Henning

Are the discounts driving growth or quietly eroding profitability?

Volume vs Value

"We're winning the market,"
- Marketing team



"We are not growing?"
- Board members



Kofis' Basket of coins



Similar to Kofis, Eniac had:

- more customers via discount
- but less value

Revenue cannibalization from high discounts

January 2017 - March 2018| completed orders

40,985

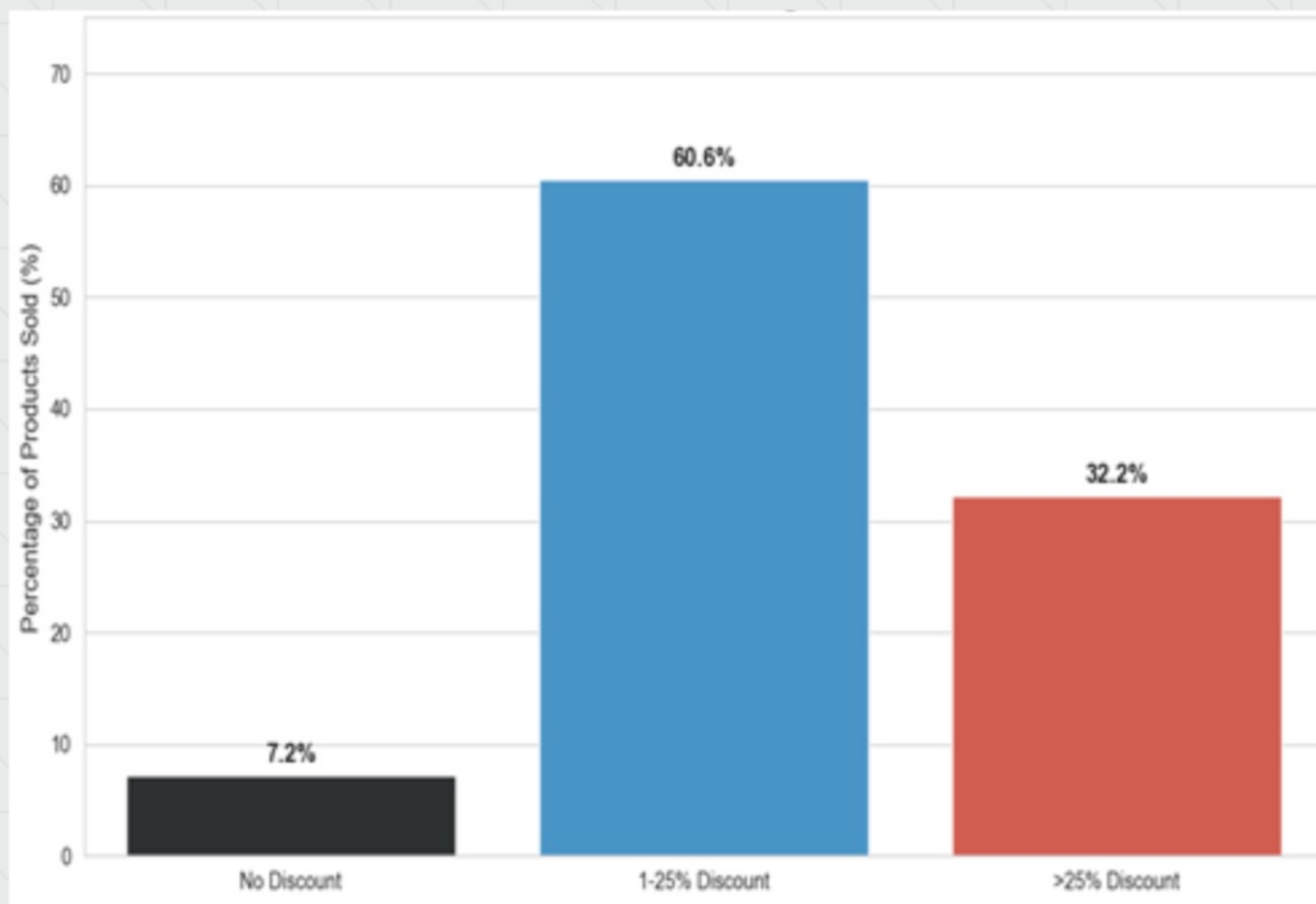
Total completed orders

~€7.82M

Total revenue

92.8%

Discount dependency



Takeaway:

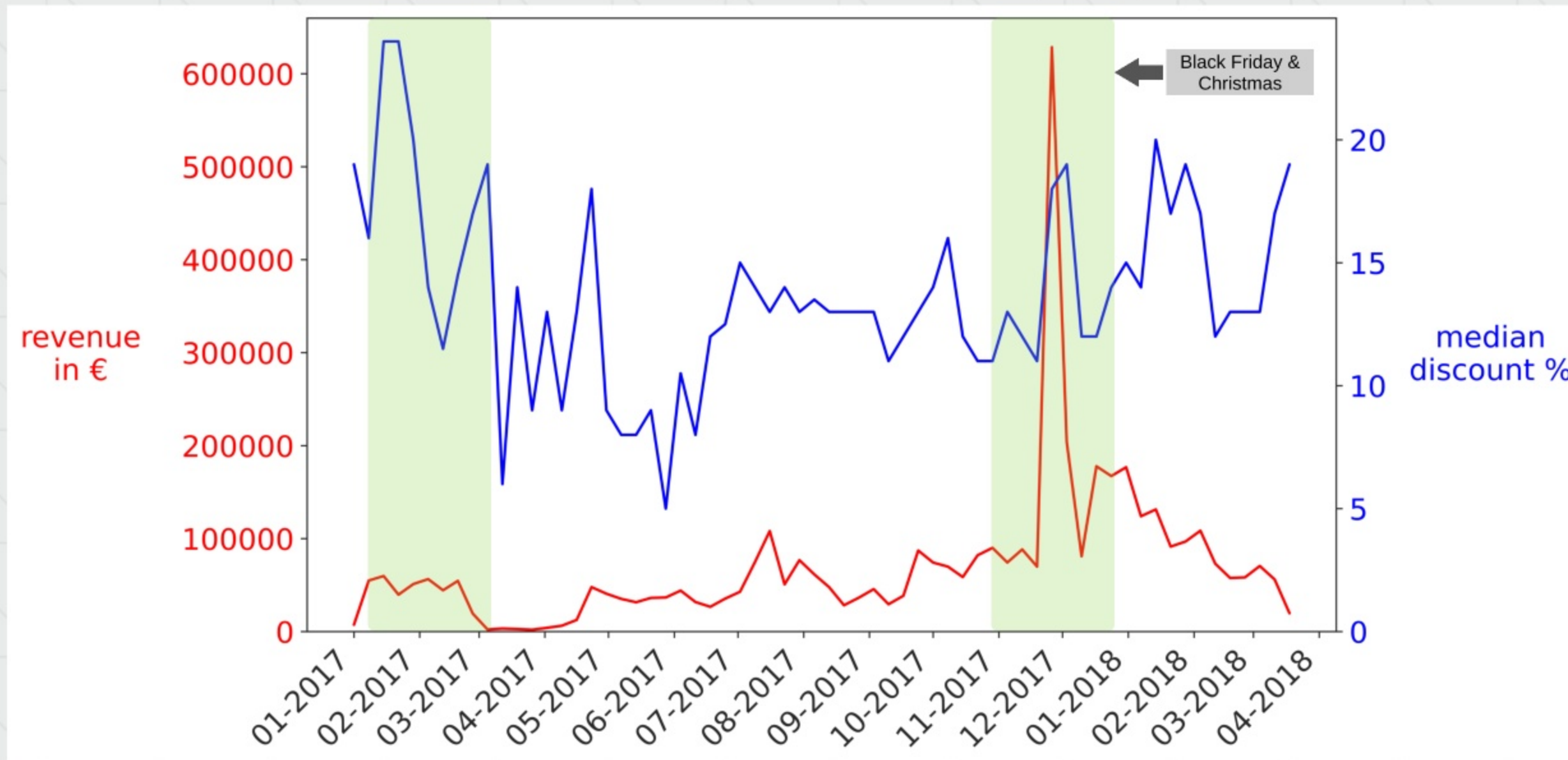
- 1/3 of our products rely on heavy discounts
- Erosion of our Quality Segment positioning

Seasonality seems to drive revenue, not discounts

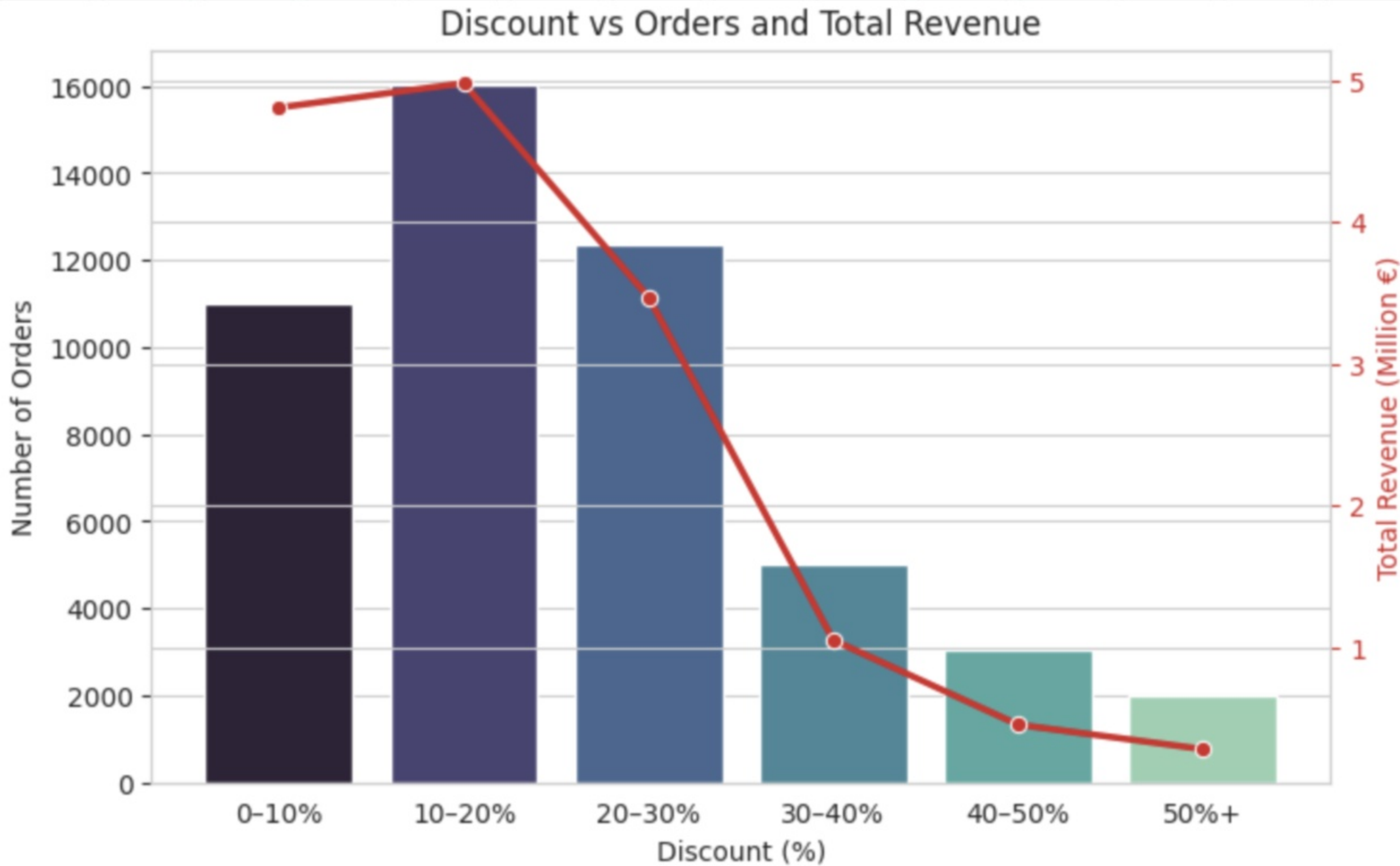
high discounts
low revenue

medium discounts
high revenue

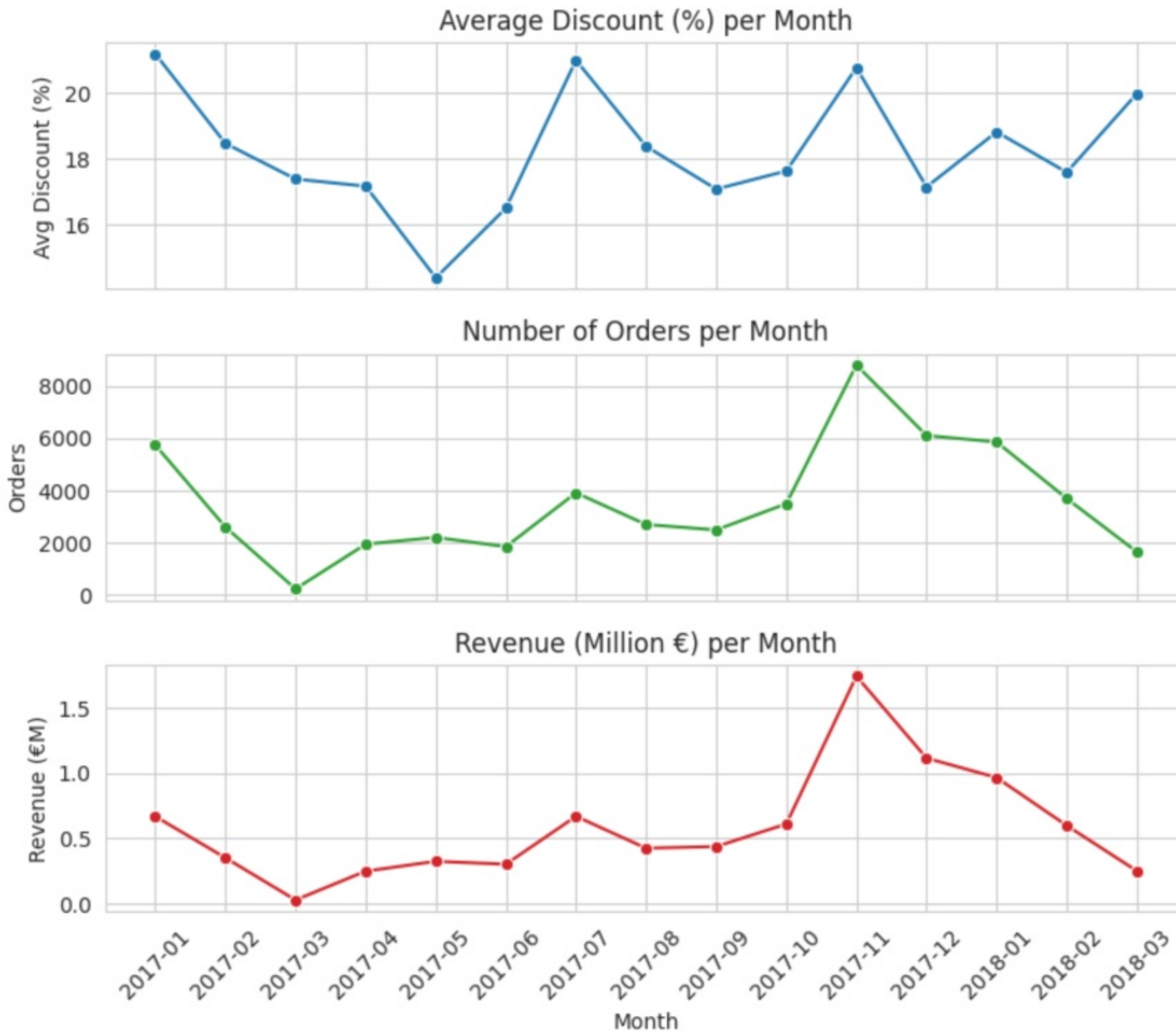
Weekly revenue / average discount % of top 250 products



Higher discounts do not increase Demand nor Revenue



Discounts do not consistently drive revenue



Observation:

- Higher discounts sometimes increase orders
- Revenue does not consistently follow
- Strong peaks driven by specific periods (e.g. Nov)
- Discounts show inconsistent impact

Takeaway:

- Discounts are not a reliable growth driver

Seasonality Over Discounts: A Strategy for Sustainable Revenue

*"Our current discounting strategy is inefficient;
we are sacrificing margin to chase volume that is naturally driven by seasonality."*

Recommendations:

- Remove all discount
- Newsletter 5% discount for new customers
- A/B testing
- Tiered Pricing:
 - Spend 800€, save 40€
 - Protect margin on small accessory
 - Guarantee a higher AOV

Value missing: COGS/CAC to protect Net Contribution

WHAT DRIVES THE SALE: TAG OR PRICE?

OPTION A

*Focus: Brand
Equity & Profit*

Buyers pay full price



OPTION B

Focus: Conversion

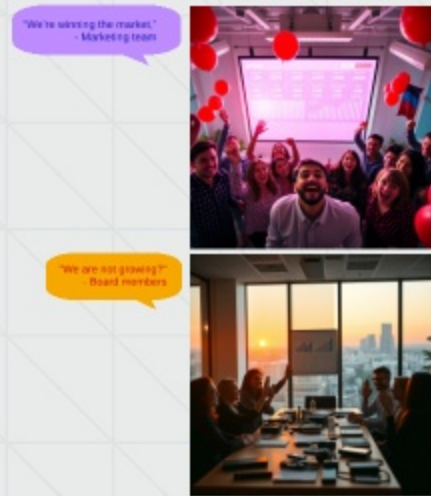
Capture emails
and offer discount.



5% DISCOUNT FOR
NEW CUSTOMERS

Eniac's discount dilemma

Are the discounts driving growth or quietly eroding profitability? Volume vs Value



Kofis' Basket of coins



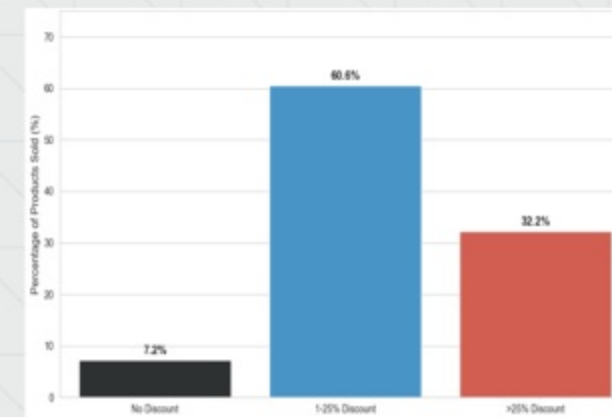
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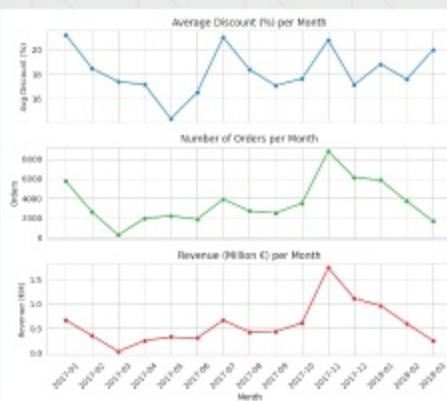
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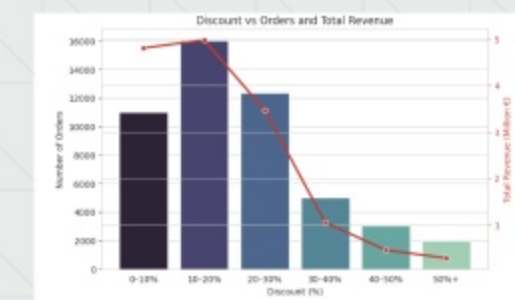
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